companies have the greatest chance of failing. It takes time to establish companies and new products. There may be losses and the need for large injections of capital. If a company or an industry is not nurtured or husbanded at this stage, it can collapse. A good journalist I know began a business magazine. His intention was to start a magazine edited by journalists without interference from industrial magnates or politicians. It was an exceptionally readable magazine. However, it did not have the finance needed in those critical initial years to keep it afloat and had to fold up. Had it, at that time, had the finance it needed it may have survived and thrived. In short, at this stage investors take a high risk in the hope of great reward should the product succeed.

The Expansion or Growth Stage

Once the industry has established itself it enters a growth stage. As the industry grows, many new companies enter the industry. At this stage, investors can get high reward at low risk since demand outstrips supply. In 2000, a good example was the Indian software industry. In 2003, the BPO industry is arguably in the growth stage. The mobile phone industry is also in the growth stage — with newer models and newer entrants.

The growth stage also witnesses product improvements by companies that have survived the first stage. In fact, such companies are often able to even lower their prices. Investors are more keen to invest at this time as companies would have demonstrated their ability to survive.

The Stabilization or Maturity Stage

After the halycon days of growth, an industry matures and stabilizes. Rewards are low and so too is the risk. Growth is moderate. Though sales may increase, they do so at a slower rate than before. Products are more standardized and less innovative and there are several competitors. The refrigerator industry in India is a mature industry. Growth is slow. It is for the time seeing safe. Investors can invest in these industries for comfort and average returns. They must be aware though that should there be a downturn in the economy and a fall in consumer demand, growth and returns can be negative.

The Decline or Sunset Stage

Finally, the industry declines. This occurs when its products are no longer popular. This may be on account of several factors such as a change in